

complaint

Ms L is unhappy that CIS General Insurance Limited ("CIS") has declined her claim for damage due to an escape of water at her late father's property.

background

The circumstances of this complaint were set out in my provisional decision dated August 2014, a copy of which is attached and forms part of this decision.

Ms L accepted my conclusions and had nothing further to add.

CIS did not agree with my provisional decision and made the following points:

- It did not agree it was the party which disagreed with our adjudicator's findings, as it agreed to her proposal (to pay £100 compensation) before the matter came to me.
- There is no evidence, other than Ms L's testimony, of what was discussed when Ms L visited the branch of CIS to discuss her insurance needs. Technically speaking, the policy set up was a continuation of Ms L's father's policy, rather than a new policy altogether and the policy documents clearly showed the cover in place. If Ms L's insurance needs were so specific, she should have reviewed the policy documents, including the exclusions applicable to the policy.
- CIS ultimately believes the relevant exclusions were discussed would have been made clear to Ms L, and considered it highly unlikely an adviser would have only mentioned one exclusion. The exclusions were also clearly highlighted in the policy documents and/or information booklets sent to Ms L.
- The policy renewed in May 2012 so Ms L would have received updated documents which again outlined the cover provided by the policy. CIS believes Ms L had some responsibility to ensure the cover was suitable.
- It did not agree with my comments that most of the insured perils (fire, storm, flood and escape of water) are excluded whilst the buildings are unoccupied. Cover would only be restricted in the event of theft or attempted theft, malicious acts of vandalism, escapes of water or claims involving the freezing of any fixed water heating system. The policy still provided cover for damage caused by things such as fire, flood, storms or subsidence.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I will not repeat the findings set out in my provisional decision but will comment further on the responses received from CIS.

CIS initially rejected our adjudicator's findings, but I accept CIS ultimately agreed to offer the £100 compensation suggested by our adjudicator and I am sorry this was not clearer in my provisional decision. I should point out that the adjudicator considered that the exclusion had not been explained sufficiently to Ms L and recommended a payment of £100 to reflect this.

CIS accepted this. It was Ms L who requested an ombudsman's decision and I have amended the provisional decision to reflect this.

My understanding is that this was a new policy rather than a straight continuation of the old policy in a new name. I have considered carefully CIS's comments. I accept that the cover offered by the policy is wider than I set out in my provisional decision. It highlights the fact that any important exclusions that apply should have been pointed out. I accept Ms L's testimony rather than what the adviser 'would have' told her. We have her evidence but not that of the adviser or any notes of what she was told. I also do not think that the subsequent documents were sufficiently clear in highlighting the particular exclusions.

My view is that it follows that if an exclusion is insufficiently explained to a customer then the insurer cannot rely on it. It is for that reason that I thought CIS should deal with Ms L's claim.

my final decision

My final decision is that I uphold the complaint. I direct CIS General Insurance Limited to:

- Deal with the claim for escape of water subject to the remaining terms and conditions of the policy. In the event that it pays a cash settlement it should add interest at 8 % simple (less any tax properly deductible) from the date of the claim to the date of payment.
- Pay to Ms L £200 compensation for the inconvenience and upset caused to her by its handling of her claim.

Ray Lawley
ombudsman

PROVISIONAL DECISION

complaint

Ms L is unhappy that CIS General Insurance Limited ("CIS") has declined her claim for damage due to an escape of water at her late father's property.

background

In May 2011 Ms L took out a policy at her local branch through CIS on her late father's property. She explained that the property was furnished but unoccupied. She says that she was only told that loss or damage for theft would not be covered. She renewed the policy in May 2012 and then in October 2012 made a claim for escape of water. CIS declined to pay the claim, as the property had been unoccupied for more than 60 days and the damage was not covered.

Ms L complained to CIS as she had not been told about the exclusion. CIS said that it believed that the exclusion would have been explained to her. However it was unable to show what happened at the point of sale, that adviser no longer being employed by it. Because of the delay in considering her claim and answering her letters, it paid her compensation of £75.

Ms L referred her complaint to this service. The adjudicator upheld her complaint that the exclusion had not been adequately advised to her. However she also felt it reasonable that CIS could rely on the exclusion for unoccupied properties. She recommended a payment of a further £100 compensation to reflect the inconvenience caused.

Ms L did not accept this and asked for the matter to be referred to an ombudsman for a final decision.

my provisional findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

Ms L bought the policy in her local branch. I appreciate the difficulties in proving what was said as there is no recording or notes of the interview. However I note that Ms L specifically wanted to purchase a policy which covered an unoccupied property. She recalls that she was told that theft would not be covered, but says that she was not told that there was an exclusion for escape of water (and other perils) when the property was unoccupied. CIS says that it is "*highly unlikely*" that the adviser who told her about the theft exclusion would not also have told her about the other exclusions. I am inclined to believe what Ms L said. I shall set out here why I think that is the case.

The policy sold to Ms L was a normal household policy. Under the terms of that policy *most* of the insured perils (e.g. fire, storm, flood, and escape of water) are not covered for loss or damage "*occurring while the Buildings are Unoccupied*". The only remaining parts of the policy which would still give cover are accidental damage to underground pipes drains and cables and Property Owner's liability. Since Ms L clearly expected the property to remain empty for a while, I would question why this particular policy was sold to her in the first place. I note that CIS says that it would not have covered escape of water even for payment of an extra premium. Yet there are policies available which will cover that even if unoccupied. It may require the property to be heated to a certain level or the system to be drained down. I think it likely that if Ms L had been given proper advice about the full extent of the exclusions she would have sought different insurance.

CIS has pointed out that the exclusions are clearly contained within the policy and the policy summary. That is true – they are contained on page seven of the policy booklet and on page five of the summary (the latter referring back to the policy for its full sense). I do not think that is sufficient especially given the fact that it appears some exclusions were explained by the adviser.

I have also noted in the policy, "*Unoccupied: means insufficiently furnished for full habitation, or not lived in by the Family...for more than 60 consecutive days*". In her correspondence with CIS Ms L said "*When I took out the policy in April 2011, I informed your representative that the house was fully furnished...*" It does not appear to me that any proper investigation was made as to whether the property in fact met the definition of unoccupied if it was fully furnished.

I am not persuaded that CIS could reasonably rely on the exclusion in this case. I am also not persuaded that Ms L suffered no prejudice because of CIS's decision to decline the claim. She clearly expected the claim for escape of water to be paid and in light of my findings she would probably have sought insurance elsewhere that would have covered the claim. In those circumstances I am minded to direct CIS to deal with her claim.

I note that the adjudicator recommended a payment of £100 to reflect the inconvenience caused by its handling of the claim. This is on top of the £75 it has already paid. I think a payment should not only reflect the inconvenience, but also that Ms L has had a claim declined because she was not given adequate advice about her policy in the first place. Whilst she does not live at the property it will have suffered from being unrepaired for all this time. I am inclined to award a payment of £200.

my provisional decision

My provisional decision is that I am minded to uphold the complaint. I propose to direct CIS General Insurance Limited to:

- Deal with the claim for escape of water subject to the remaining terms and conditions of the policy. In the event that it pays a cash settlement it should add interest at 8 % simple (less any tax properly deductible) from the date of the claim to the date of payment.
- Pay to Ms L £200 compensation for the inconvenience and upset caused to her by its handling of her claim.